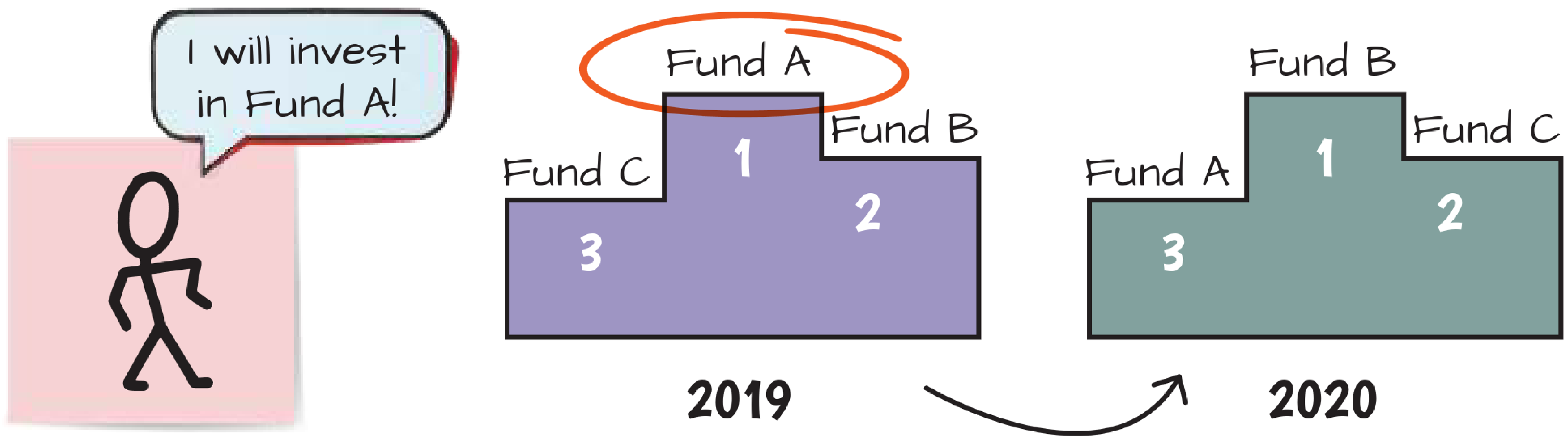
b. Avoid chasing Top Performing Fund of every year

When it comes to investing in mutual funds, the key to long-term success is avoiding the temptation to chase the top-performing fund of every year.



It's a common misconception that sticking with the current year's winner is the best strategy. However, funds go through cycles of outperformance and underperformance, making it unlikely for any single fund to consistently remain in the top 5 every year.

If you doubt this, then consider the performance data of 30 Flexi Cap Funds from 2019 to 2023:

As you can see, different funds take the lead each year, emphasizing the inconsistency of fund performance. The key takeaway here is that no fund consistently holds a top 5 position across all years.

Particulars	2019	2020	2021	2022	2023
Rank 1	Company9 (HDFC)	Company 2 (Axis)	Company 23 (Quant)	Company 23 (Quant)	Company9 (HDFC)
Rank 2	Company 5 (Canara Robeco)	Company 21 (PPFAS)	Company 22 (PGIM)	Company 4 (Bank of India)	Company 14 (JM)
Rank 3	Company 2 (Axis)	Company 14(JM)	Company 8 (Franklin)	Company 21 (PPFAS)	Company 11 (ICICI)
Rank 4	Company 30 (UTI)	Company 5 (Canara Robeco)	Company 30 (UTI)	Company 12 (IDBI)	Company 15 (Kotak)
Rank 5	Company 15 (Kotak)	Company 6 (DSP)	Company 21 (PPFAS)	Company 9 (HDFC)	Company 10 (HSBC)

**The fund here is an example, not a recommendation. It is only for educational purposes.*